

14.7%

The CAGR delivered by gold in the last 25 years. The BSE Sensex rose 10.7% annually during the same period

₹1.5 LAKH CRORE

The Union government's outstanding debt on sovereign gold bonds till October 2025. The last tranche was issued in February 2024



"Gold is the only money you have and nobody has to give you anything [in exchange]... Most investors should have 5-15% of their portfolios in gold or alternative money"

RAY DALIO
FOUNDER, BRIDGEWATER ASSOCIATES



"Gold could well land somewhere between \$5,000 and \$6000, while silver will print a price in triple digits. Still, platinum may have the largest potential"

PHILIPPE GIJSSELS
CHIEF STRATEGY OFFICER, BNP PARIBAS FORTIS

from the US dollar. (See Box: *How the BRICS "Unit" Benefits Gold*)

SILVER: THE NEW GOLD

Though there's no currency demand for silver, a host of other factors have made the wite metal rally twice as much as gold. In 2025, silver outperformed other major precious metals with a rally of 133% in the domestic markets. The price of the metal more than doubled to ₹2 lakh per kg on December 19, 2025, from ₹85,851 per kg on December 31, 2024. In international markets, silver prices surpassed \$74 an ounce on December 24, up 150% YoY, and nearly 40% in just one month. Platinum and palladium have soared more than 115% and 90%, respectively, since January 2025.

Mathur of Anand Rathi says, "Investors have piled into alterna-

tive assets in a wider retreat from government bonds and currencies, supporting investment demand into silver. Optimism about the metal's fundamental supply and demand balance has also been priced, as the market is set to witness a fifth consecutive year of supply deficit."

In light of the rally, some are calling silver the new gold, says Kranthi Bathini, Equity Strategist at WealthMills Securities. Though he believes precious metals will consolidate this year, "demand for silver from the electric vehicle space may give it some support."

For those in the business, these are heady times indeed. Vedanta Group Chairman Anil Agarwal said in a post on X that silver has emerged from gold's shadow. "It is unique because it is the only metal which has intrinsic value and func-

tional demand," he added, referring to its use in new technologies. "As the only producer of silver in India, we have seen this first-hand at HZL. Prices will go up and down, but silver's extraordinary shine is here to stay."

Of course, not everybody involved in the precious metals space is happy with the rally.

For jewellery retailers and makers, higher prices typically soften volume growth, particularly in the mass and discretionary segments. Sunny Agrawal, Deputy Vice President-Fundamental Research (Retail Research) at SBI Securities, says, "For B2C organised players, rising gold prices will lead to weaker demand, impacting volume growth for jewellery companies. However, higher realisation helps offset the reduction in volume and sales momentum